

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TZ SSE BUYER, LLC, *Complainant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-09

Served: June 2, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER GRANTING RESPONDENT’S MOTION FOR PARTIAL SUMMARY JUDGMENT AND
DENYING COMPLAINANT’S MOTION FOR LEAVE TO FILE A SURREPLY**

I. SUMMARY AND BACKGROUND

A. Introduction

In its operative second amended complaint (“Operative Complaint”), TZ SSE Buyer, LLC¹ (“Complainant”) alleges that COSCO Shipping Lines Co., Ltd. (“Respondent”) violated 46 U.S.C. §§ 41102(c) and 41104(a)(10) by assessing demurrage, detention, per diem, and yard storage charges during a time in which the charges were not just or reasonable because of circumstances outside of Complainant’s control. (*See generally* Operative Complaint). On March 11, 2025, Respondent filed its Motion for Partial Summary Judgment Regarding Shipments Not in U.S.-Foreign Trade (“MPSJ”) with respect to shipments covered by the Operative Complaint that were discharged at a Canadian port and then transported over land to their final destination in the United States. (*See generally* MPSJ). On March 26, 2025, Complainant filed Complainant’s Response in Opposition to Respondent’s Motion for Partial Summary Judgment (“MPSJ Response”), arguing that the shipments at issue were transported under a through bill of lading to a final destination in the United States. (*See generally* MPSJ Response). On April 1, 2025, Respondent filed Respondent’s Reply in Support of its Motion for Partial Summary Judgment (“MPSJ Reply”).

On April 2, 2025, Complainant filed Complainant’s Motion for Leave to File a Surreply in Opposition to Respondent’s Motion for Partial Summary Judgment (“Surreply Motion”), along with a proposed surreply brief. Also on April 2, 2025, Respondent filed Respondent’s Reply to Complainant’s Motion for Leave to File a Surreply (“Surreply Response”).

For the reasons discussed below, Respondent’s MPSJ is **GRANTED**, and the Surreply Motion is **DENIED**. This Order is limited to those container shipments specifically identified in

¹TZ SSE Buyer, LLC purchased the original Complainants’ assets out of bankruptcy.

the statement of undisputed material facts that accompanies the MPSJ, and that are also identified in MPSJ Appendix A; this Order does not address the merits of Complainant's claims. This Order only addresses the jurisdictional issue raised in the MPSJ.

B. Arguments of the Parties Regarding the MPSJ

Respondent argues that some of the shipments covered in the Operative Complaint did not move by water from a foreign port to a United States port, but were instead transported from a foreign port to a port in Canada, and shipped over land from Canada to the United States. Such foreign-foreign shipments are outside the jurisdiction of the Commission. Respondent states that it does not know "how many, or precisely which, shipments" fall into this category, but its statement of undisputed material facts identifies several shipments. (*See generally* MPSJ; *see also* MPSJ Reply).

Complainant argues that Respondent misinterprets the Shipping Act and the regulations governing detention and demurrage charges. Complainant argues that when a shipment is transported by rail or truck under a through bill of lading to a final destination in the United States, it remains within the Commission's jurisdiction even if it was initially discharged at a Canadian port. (*See generally* MPSJ Response).

C. Surreply Motion

In its Surreply Motion, Complainant argues extraordinary circumstances exist to permit a surreply because the MPSJ Reply contains an attack against the professional integrity of the Complainant's counsel. (*See generally* Surreply Motion). Complainant asserts that the surreply brief would be limited to responding to the professional integrity issue. (*Id.*).

Respondent argues in its Surreply Response that it did not file a formal disciplinary petition with the Commission, and therefore a surreply is unnecessary. (*See generally* Surreply Response).

In the MPSJ Reply, the Respondent points out that the Initial Decision in *TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, Dkt. No. 24-10, 2025 WL 1083815 (ALJ Mar. 24, 2025) (notice not to review April 24, 2025) ("*Yang Ming*"), was issued two days before Complainant filed its MPSJ Response on March 26, 2025. The MPSJ Reply asserts that Complainant made no reference to the Initial Decision in *Yang Ming* in its MPSJ Response, even though the Initial Decision in *Yang Ming* dismissed claims related to numerous containers on jurisdictional grounds. (MPSJ Reply, at 2-3) (citing *Yang Ming*, 2025 WL 1083815, at *1). Respondent asserts that this violates at least the spirit of Rule 3.3(a)(2) of the American Bar Association's Model Rules of Professional Conduct (the "Model Rules"), which states that a lawyer shall not knowingly fail to disclose to the tribunal "legal authority in the controlling jurisdiction known to be the lawyer to be directly adverse to the position of the client and not disclosed by opposing counsel[.]"

The Surreply Motion is **DENIED**. The Commission's Rules provide that a party filing a dispositive motion may file a reply. (46 C.F.R. § 502.70(c)). The rules also provide that: "The non-moving party may not file any further reply unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances." (46 C.F.R. § 502.70(d)).

Complainant argues that extraordinary circumstances exist because of Respondent's assertions concerning the professional integrity of Complainant's counsel. I am not persuaded. The Surreply Motion essentially argues the merits of the MPSJ. *Yang Ming* dismissed claims related to numerous containers due to a lack of jurisdiction (*see Yang Ming*, 2025 WL 1083815, at *14), and is therefore arguably relevant to the jurisdictional issue raised by the MPSJ. The Surreply Motion attacks the authority of *Yang Ming*, stating that "it remains non-final, and is subject to Complainant's filing of exceptions and possible Commission review." The Surreply Motion then repeats that *Yang Ming* is "non-binding and procedurally unresolved." (Surreply Motion, at 1). In other words, the Surreply Motion basically attacks the authority of a decision that is potentially relevant to the merits of the MPSJ. Complainant could have attacked *Yang Ming* in the MPSJ Response, but did not. A party cannot claim "extraordinary circumstances" exist when it does not take advantage of the opportunity to address adverse authority, and then belatedly attempts to address the adverse authority.

Respondent's assertion that Complainant's failure to address *Yang Ming* in the MPSJ Response violates at least the spirit of Model Rule 3.3(a)(2) is not relevant to the merits of the jurisdictional issue raised in the MPSJ. Therefore, I do not address it other than to note that a lawyer's duty to disclose adverse authority is premised on opposing counsel's failure to do so, and that Respondent's counsel routinely notifies the tribunal of new decisions. (*See, e.g.*, Notice of Supplement Authority of July 25, 2024; Notice of Supplemental Authority of April 25, 2025; Notice of Supplemental Authority of April 29, 2025).

D. Motion for Summary Judgment Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary judgment, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). "The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." (*Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024)).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if "there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law." (FED. R. CIV. P. 56(a)). A material fact is one that is capable of affecting the outcome of litigation. (*Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)). "Mere allegations, unsupported by specific facts or evidence beyond the nonmoving party's own conclusions, are insufficient to withstand a motion for summary judgment." (*Thomas v. Corwin*, 483 F.3d 516, 527 (8th Cir. 2007) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986))). If the non-movant's evidence is "merely colorable" or "not significantly probative," summary judgment may be granted. (*Liberty Lobby*, 477 U.S. at 249-50 (1986)).

Further, the existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. (*Anderson*, 477 U.S. at 247-48). "Where the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no 'genuine issue for trial.'" (*Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475

U.S. 574, 587 (1986) (citation omitted). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. (*Id.*, at 587).

II. UNDISPUTED MATERIAL FACTS

Complainant admits to Respondent's proposed undisputed material facts ("RUMF") in all material respects while disputing that those facts preclude Commission jurisdiction over the shipments. (*See generally* RUMF; *see also* Complainant's Responses to Respondent's Statement of Undisputed Material Facts ("CRUMF")). The following facts are found to be undisputed and material to the issue of jurisdiction.

1. Complainant's Operative Complaint seeks reparations with respect to demurrage charges on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers. (Operative Complaint, ¶ 14).
2. The Complaint alleges that these charges violated 46 U.S.C. §§ 41102(c) and 41104(a)(10). (Operative Complaint, ¶¶ 30-33).
3. Complainant prepared a table identifying each container for which it contends Respondent assessed charges in violation of the Shipping Act. The table is attached to the RUMF as Exhibit 1. (RUMF, Ex. 1; CRUMF, ¶ 4).
4. Various emails, arrival notices, invoices, and customs entry declarations establish that the containers identified in MPSJ Appendix A were transported by sea from a foreign country to a port in Canada and not to any United States port. MPSJ Appendix A is drawn from the exhibits to the RUMF.

III. DISCUSSION

The Operative Complaint alleges violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). (Undisputed Material Facts, ¶ 2). Section 41102(c) provides that "[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." (46 U.S.C. § 41102(c)). Section 41104(a)(10) states that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not unreasonably refuse to deal or negotiate." (46 U.S.C. § 41104(a)(10)).²

For the purposes of both of these sections, a common carrier is:

a person that—

² The statute was amended by the Ocean Shipping Reform Act of 2022 ("OSRA 22"), to add the following after "negotiate": "including with respect to vessel space accommodations provided by an ocean common carrier[.]" (*See* OSRA 22 (Pub. L. 117-146), Section 7(a)(1)(D)). Although OSRA 22 was effective June 16, 2022, the amendment does not appear to be relevant to this proceeding.

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

There is no question that the containers identified in MPSJ Appendix A were discharged in Canadian ports. (*See* Undisputed Material Fact, ¶ 4). Applying the definitions in the statute to the undisputed material facts, Respondent is not a “common carrier” as defined in § 40102(7) as to the shipments that were discharged in Canadian ports. For such shipments, the vessels did not operate on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. And if Respondent is not a “common carrier” as defined by statute as to the shipments identified in MPSJ Appendix A, then Respondent cannot be liable under either §§ 41102(c) or 41104(a)(10) – which both require Respondent to be a “common carrier” – as to those shipments. Claims against non-regulated entities are appropriately dismissed. (*See OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & C., KG and Hamburg Sud North American, Inc.*, Dkt. No. 21-11, 2024 WL 4034610, at *21 (FMC Aug. 27, 2024) (“The ALJ denied all claims against HSNA because it found HSNA not to be a common carrier, instead HSNA was acting as a disclosed agent on behalf of HSDG. I.D. at 37. Neither side challenged this conclusion, and no evidence suggests it should be reviewed. . . .”); *see also Hapag-Lloyd A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 4 F.M.C.2d 53, 2022 WL 1239377 (ALJ Apr. 22, 2022) (settlement approved Jun. 8, 2022) (“Moreover, Hapag-Lloyd America was not operating as a regulated entity as required by section 41102(c). Accordingly, Hapag-Lloyd America is dismissed.”)).

Complainant points out that Respondent admits it is an ocean common carrier and subject to personal jurisdiction. (*See* Verified Answer to Second Verified Amended Complaint (“Operative Answer”), ¶ 10). Complainant argues that Respondent cannot now deny that it is a common carrier. (MPSJ Response, at 7-8). That argument is not persuasive. The Commission’s jurisdiction is limited to matters arising under the Shipping Act. (46 U.S.C. § 41301(a)). Subject-matter jurisdiction cannot be created by waiver or stipulation. (*Vinmar, Inc. v. China Ocean Shipping Co.*, Dkt. No. 91-43, 1992 WL 231349, at *5 (ALJ, Jan. 17, 1992)). Therefore, Respondent cannot create subject-matter jurisdiction that would not otherwise exist via its Operative Answer. Further, a respondent can act as a common carrier in some shipments but not others. (*CMI Distribution, Inc. v. Service by Air, Inc.*, Dkt. No. 17-05, 2021 WL 3367603, at *4-5 (FMC, July 26, 2021)). So, Respondent can accurately admit that it is a common carrier, but nevertheless not be a common carrier as to all shipments at issue.

Complainant argues that the Commission’s jurisdiction extends beyond the ports of the United States when the transportation involves a through bill of lading. (MPSJ Response, at 4-7).

This is not the relevant inquiry. The relevant inquiry is whether Respondent is a “common carrier” under the Shipping Act as to the shipments identified in MPSJ Appendix A. Indeed, as Respondent itself noted when describing *Austasia Intermodal Lines, Ltd. v. Fed. Mar. Comm.*, 580 F.2d 642 (D.C. Cir. 1978), “[t]he decision turned on whether the carrier was a common carrier under the Shipping Act, not on FMC jurisdiction over through bills of lading.” (MPSJ Response, at 8-9). The same is true here – the MPSJ turns on whether Respondent was a common carrier under the Shipping Act as to containers shipped to Canadian ports, not the Commission’s jurisdiction over bills of lading.

Because Respondent was not a “common carrier” as defined in the Shipping Act as to containers shipments to Canadian ports, which are identified in MPSJ Appendix A, I find that partial summary judgment is appropriate. Respondent’s MPSJ is **GRANTED** as to the container shipments identified in MPSJ Appendix A. As noted in the introduction, this Order is limited to only those container shipments identified in MPSJ Appendix A, and does not otherwise address the merits of Complainant’s remaining claims.

IV. ORDER

For the reasons discussed above, it is **HEREBY ORDERED** that Respondent’s MPSJ is **GRANTED**. It is

FURTHER ORDERED that Complainant’s Surreply Motion is **DENIED**. It is

FURTHER ORDERED that the briefing schedule remains as follows:

- June 18, 2025: Complainant’s Opening Brief, Proposed Findings of Fact, and Appendix.
- August 4, 2025: Respondent’s Response Brief, Proposed Findings of Fact, and Appendix.
- August 18, 2025: Complainant’s Reply Brief, and Responses to Proposed Findings of Fact.

Richard C.
Ambrow Jr -S

Digitally signed by
Richard C. Ambrow Jr -S
Date: 2025.06.02
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Richard Ambrow
Administrative Law Judge

MPSJ Appendix A

Reference No.	Container No.	Place of Loading	Destination	Supporting Evidence
L01-149384	OOCU8178237	Xingang	Prince Rupert	Ex. 2; COSCO_0000566-COSCO_0000567
L01-149291	OOCU8800905	Yanitan	Vancouver	Ex. 3; COSCO_0002260-COSCO_0002261; COSCO_0002925-COSCO_0002926
L01-149436	FSCU5102600	Xingang	Prince Rupert	Ex. 3 COSCO_0000263
L01-149433	OOLU7763017	Xingang	Prince Rupert	Ex. 3 COSCO_0000265
L01-150838	FXLU6010492	Yanitan	Vancouver	Ex. 3; COSCO_0001668; COSCO_0001816; COSCO_0001819-COSCO_0001820*; COSCO_0002109-COSCO_0002110
L01-151009	FSCU5064049	Yanitan	Vancouver	Ex. 3; COSCO_0001416-COSCO_0001417; COSCO_0004701-COSCO_0004702
L01-150145	CSNU7639734	Shanghai	Prince Rupert	Ex. 3; COSCO_0000183-COSCO_0000184; COSCO_0000260
L01-150119	OOCU6841320	Shanghai	Prince Rupert	Ex. 3 COSCO_0000269
L01-151427	CBHU8784976	Qingdao	Prince Rupert	Ex. 3 COSCO_0004540-COSCO_0004550
L01-151233	BEAU6232700	Yanitan	Vancouver	Ex. 3 COSCO_0006462-COSCO_0006463
L01-151547	CCLU6931189	Shanghai	Prince Rupert	Ex. 3 COSCO_0000189-COSCO_0000200
L01-149434	OOCU4733964	Xingang	Prince Rupert	Ex. 3 COSCO_0000267
L01-149672	BMOU4735130	Dalian	Prince Rupert	Ex. 3 COSCO_0000171-COSCO_0000172
L01-146642	DFSU7265073	Hai Phong	Vancouver	Ex. 3; COSCO_0004111; COSCO_0004115- COSCO_0004116
L01-149673	DFSU7558852	Dalian	Prince Rupert	Ex. 3 COSCO_0000173-COSCO_0000174; COSCO_0000179-COSCO_0000180

*COSCO_0001819-COSCO_0001820 refer to reference no. L01-151219 in the email headings; these pages also have an arrival notice for container no. FXLU6010492 that is consistent with other arrival notices for the same container.